For these requests, TPMG states that it will supplement but Plaintiff states that no supplemental documents or privilege log have been produced as of the date of Plaintiff's reply brief. TPMG must produce relevant, responsive documents.

It also appears that TPMG has restricted its production of Plaintiff's wage and schedule records to 2018 to the present, given the statute of limitations. There is no cognizable substantial burden to production of these records from *2016* (when Plaintiff began her employment) to the present. They are potentially relevant and must be produced.

<u>Request for Production of Documents Nos. 62-65</u>

TPMG has produced documents in PDF format and Plaintiff requests native format. Plaintiff properly points—without citation, however—to Code of Civil Procedure 2031.280. Neither party has presented any argument regarding usability or burden. Plaintiff requested documents produced in native format and TPMG has not explained its objection.

<u>Privilege Log</u>

TPMG has made several claims of privilege and work product but appears not to have produced a privilege log. TPMG must produce a privilege log forthwith.

<u>Organizational Chart</u>

Plaintiff complains that TPMG has failed to produce an organizational chart for the full period of Plaintiff's employment. The Court agrees that such organizational chart—for the portion of Defendant's business that is relevant to Plaintiff—must be produced.

<u>Timing</u>

All amended responses ordered by the Court must be provided within 30 calendar days of this order.

<u>Sanctions</u>

Plaintiff requests $4,785 in sanctions. Defendant argues that the supplemental responses mooted the motion. California Rule of Court 3.1348(a) provides: "The court may award sanctions under the Discovery Act in favor of a party who files a motion to compel discovery, even though . . . the requested discovery was provided to the moving party after the motion was filed." After a thorough analysis of the original requests, the supplemental responses (and the timing of those responses), and both parties' arguments, and the scope of the meet and confer process, the Court will order $2000 in sanctions for this Motion, payable within 30 calendar days of this order.

8. 9:00 AM CASE NUMBER: C24-02737
CASE NAME: VANESSA MIGUEL VS. CONGREGATION B'NAI SHALOM OF CONTRA COSTA COUNTY
***HEARING ON MOTION IN RE: APPROVAL OF PAGA SETTLEMENT**
FILED BY: MIGUEL , VANESSA
<u>*TENTATIVE RULING:*</u>

Plaintiffs Vanessa Miguel and Melissa Maricich move for approval of the settlement of their PAGA suit against Defendant Congregation B'Nai Shalom of Contra Costa Count.

A. Background of the Case and Terms of Settlement

This a PAGA case, alleging a variety of violations of the Labor Code concerning failure to provide rest and meal breaks, failure to pay for off-the-clock work, failure to reimburse business expenses and cascading derivative violations. Plaintiff has given notice to the LWDA. The complaint was filed October 11, 2024. There is no class action, only a PAGA claim.

Plaintiffs explain the various payments except as to the aggrieved employees, perhaps because to do so would be surprising, but the Court has done the math and the payments are as follows:

Total settlement amount	$95,000
Payment for Melissa Maricich	$42,500
Payment for Vanessa Miguel	$37,500
Total payments to Plaintiffs	$80,000
"Net settlement amount" (Total minus Plaintiff payments)	$15,000
Attorneys' fees (35% of total)	$5,250
Costs	$5,000
Administrator Expenses	$3,245
Remainder	$1,755
65% PAGA Payment for LWDA	$1,140.75
35% PAGA Payment for Aggrieved Employees	$614.25

The payments from the employee share of the penalty will be distributed among the employees based on the number of pay periods each individual worked during the PAGA period. According to Plaintiffs, there are 58 aggrieved employees with 997 pay periods. This results in an average payout of $10.59. According to the settlement agreement, attorneys' fees are also being paid out of the individual payments to Maricich and Miguel, such that Maricich receives $4,250 in wages and the remainder ($38,250) of the amount is payable to the attorneys for an unknown split between penalties and attorney's fees. Miguel similarly receives $3,750 in wages with the remainder ($33,750) payable to the attorneys for an unknown split between penalties and attorney's fees. Counsel state that they have spent almost $25,000 in time on this case.

Plaintiff's counsel attests that they engaged in extensive arms-length settlement negotiations.

Informal discovery was undertaken. Counsel's declarations provide a general discussion of the strengths and weaknesses of the case. They never provide an estimate of the maximum potential recovery—or any calculations at all—but they opaquely explain why the settlement is justified. In general, they aver that during the litigation, Defendant closed its preschool and issued severances to some number of employees, which included releases of claims including those in this lawsuit. They also state that "Plaintiff's claims were largely based on the missed breaks, and . . . Defendant's policies were, on their face compliant."

They waive in the general direction of other difficulties without any explanation, such as "the uniqueness of Plaintiffs' injuries which may have undermined their individual and representative claim" and "Plaintiff's counsel risk of obtaining full recovery of claimed PAGA penalties in light of Defendant's disclosures."[1]

Plaintiff provided required notices to the LWDA of the initial claims and of the proposed settlement.

The settlement provides a process for mailing the notices to the aggrieved employees, who will not have to submit a claim, along with a process for following up on returned mail. Because this is a PAGA settlement, not a class action, there is no opportunity to object or opt out.

The settlement provides that the value of checks uncashed after 180 days will be turned over to the State Controller's Office Unclaimed Property Division in the names of the aggrieved employees.

The settlement releases any claims under PAGA that "All Aggrieved Employees, the State of California, and the LWDA are deemed to release, . . . all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notices during the PAGA Period" (The PAGA period is August 6, 2023, through July 21, 2025.) Limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id*., quoting *Marshall v. Northrop Grumman Corp*. (C.D. Cal.2020) 469 F.Supp.3d 942, 949.) Similarly, in a PAGA case, the release is limited to claims set forth in the LWDA notice.

B. Standards for Review of a PAGA Settlement

Settlements in PAGA cases must be approved by the court. (Labor Code § 2699(s)(2).) The Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees[.]" (*Id*., at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public

[1] This latter risk seems insignificant, as the value of "claimed PAGA penalties" insubstantial.

policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 46, 63.)

C. Application to this settlement

Plaintiff indicates that the settlement is fair and was evaluated by counsel based on adequate information and arms-length negotiation. Even assuming success on the merits of each claim, PAGA gives the court discretion to reduce penalties for a variety of reasons, including where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory." (Labor Code, § 2699(e)(2).) These factors make the result hard to predict.

Labor Code section 2699(k)(1) provides that a prevailing employee in a PAGA action may recover attorney's fees. Plaintiff seeks one-third of the total settlement amount as fees, relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id*., at 505.) Although *Lafitte* concerns a class action, not a PAGA-only case, this Court views the use of a lodestar cross-check as appropriate here.

The Court appreciates representations that this case did not pan out the way Plaintiffs initially thought it would, with some unstated number of aggrieved employees having signed releases as part of a severance, and Defendant having a facially valid meal and rest break policy. But they do not explain how the individual Plaintiffs are set to receive $42,500 and $37,500 while the rest of the employees receive an average of $10. Is this because of waivers or variability in merits or something else? This inequality is not improved by assuming that the individual Plaintiffs receive instead the substantially smaller amounts of $4,250 and $3,750 with the attorneys receiving the rest, which would be a multiplier of 2.9.[2] The Court has reviewed the hours billed and they do not reveal substantial work or much of substance.

Additionally, the Court does not appreciate that Counsel appear to be hiding the ball on their fees. They compare the explicit fees of $5,250 to their recorded time, but never explain how much they are *actually* receiving from the individual plaintiffs' portions. If Counsel wish to gain the benefit

[2] The Court does not assume that there is *no* portion of the amount payable to counsel that is for penalties and subject to a 1099, but because Plaintiffs have provided no information, the Court is merely considering the outside possibilities.

of a collective action by pleading, litigating, and releasing PAGA claims, they must also follow the rules of collective actions and have their fees relate to the benefit to the whole. That some portion of their fees is coming from the individual payouts would be of no consequence if this were an individual case. But it is not.

Moreover, the individual payments to Miguel and Maricich are framed not as an "enhancement payments" but as individual settlements from a gross settlement amount. As is evident above, the Court cannot figure out what amount is the individual amount for each of the individual Plaintiff's enhancement and what amount is actually attorney's fees. On their face, these enhancement payments are not acceptable.

D. Conclusion

Counsel did relatively little work on this case and achieved minimal success. The State of California gets less than $1,200. The employees who are not Vanessa Miguel and Melissa Maricich get less than $615 collectively. This is not a PAGA resolution. This is an individual case masquerading as a PAGA case, with individual results that are absolutely respectable, but abysmal on a representative basis. The Court cannot approve this settlement, with its corresponding waivers. The request for approval is **denied**.

9. 9:00 AM CASE NUMBER: C24-03050
CASE NAME: ZACH ROCKWELL VS. EAST BAY MUNICIPAL UTILITY DISTRICT
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT
FILED BY: EAST BAY MUNICIPAL UTILITY DISTRICT
TENTATIVE RULING:

Before the Court is Defendant East Bay Municipal Utility District's Demurrer to First Amended Complaint.

Defendant's unopposed Request for Judicial Notice is **granted**. (Evid. Code § 452 (c); *Gong v. Rosemead* (2014) 226 Cal.App.4th 363, 368, fn. 1.)

Factual Allegations

Plaintiffs are husband and wife who own real property located at 3215 Acalanes Avenue in Lafayette, California ("Property"). (¶ 1.) In approximately July 2021, Plaintiffs noticed an excessive amount of water saturating the soil in the front, side, and back yards and crawl space of the Property. (¶ 6.) They promptly called a plumber who determined that the water was not the result of a leak in the Property's plumbing. (*Ibid.*) The plumber suggested Plaintiffs contact EBMUD and have it conduct a site inspection to determine if the leak was coming from an EBMUD maintained pipe. (*Ibid.*)

Plaintiffs contacted EBMUD which inspected the Property and found a water leak from an EBMUD pipe. (¶ 7.) Plaintiffs were told by EBMUD that the problem was fixed. (*Ibid.*) Water, however, continued to visibly leak onto the Property, flooding the yards and crawl space. (¶ 8.) Plaintiffs contacted EBMUD again, who inspected the area and informed Plaintiffs that no leaks were coming